

When should an 'assist' in addition to an 'assess' mode be used in contracting?

Private sector contracting is usually only based around an 'assess' mode. This is where a contract is struck, and at the end of the contract period, an assessment is made as to whether the supplier/provider has delivered the deliverables they were contracted to deliver. If they have, then they are paid. If they have not, then they are not paid.

This approach works in the private sector context in those cases where there are many competing providers. If any one of them fails, then other, more efficient, or effective providers will typically take their place. The system as a whole does not need any specific supplier/provider to continue to exist. There is often no systemic risk arising from the failure of individual suppliers/providers. Interestingly, where systemic risk is perceived in the private sector (e.g. in the Global Financial Crisis), authorities quickly move into an assist mode where they no longer just let the market provide an assessment of a firm and leave the firm to fail. They move into a 'too big to fail' mode and assist the struggling firms.

While this happens relatively infrequently in the private sector, the need to sustain organizations rather than just letting them fail is much more common in a public sector context. For instance, where networks of public sector suppliers/providers have been fostered and invested in, it often does not make sense to let important parts of such networks fail. In such situations, it's best to include an 'assist' or capability-building aspect in addition to the 'assess' aspect of contract or delegation management.

This means that when an 'assess' mode shows that a supplier/provider is not delivering adequately, an 'assist' mode is activated to work with the provider to improve its performance. An assist mode can be seen as a type of implementation evaluation for optimization which is Component F in the DoView Planning Framework (D1). Also see Part 7: Performance Improvement for tools that can be used in an assist mode.

This When to Include an 'Assist' plus an 'Assess' Mode in Contracting Checklist (E7 identifies when an assist mode is needed in addition to the normal assess mode used within contracting and delegation.